CONTROLLED DOCUMENT · OFFICE OF THE CFO

BEST GAS FINANCE SOP MANUAL

The complete standard operating procedure set for Best Gas Finance — procurement and payables, cylinder & filling operations, order-to-cash across refill, exchange and the **Souq Gas** app, treasury and cash, fixed assets, payroll, Zakat & VAT, planning, and period-end close. Best Gas buys cylinders as trading inventory and distributes LPG gas; it does not manufacture cylinders.

DOCUMENT	VERSION	EFFECTIVE DATE	CURRENCY / VAT
BG-FIN-SOP-001	3.0 — IFRS, COSO & WLPGA aligned	7 August 2026	SAR · 15% VAT
OWNER	**APPLIES TO**	**REVIEW CYCLE**	**RELATED SYSTEM**
Chief Financial Officer	Plants, branches, vans, app, HQ	Annual, or on process change	Nana Financials · Souq Gas

PART I

FOUNDATIONS

How the business makes money, and the account structure every downstream SOP posts against.

00

FOUNDATIONS

THE LPG VALUE CHAIN, IN ONE LOOP

Best Gas does not sell gas in a straight line from plant to customer — it sells gas in a **loop**, and it runs on more than one financial cycle at once: money goes out to gas and equipment suppliers, gas and steel move through plants, vans and customer homes, money comes back in through counters, drivers and the Souq Gas app, and people, tax and lenders all take a share along the way. This manual is organised the way Finance actually experiences the business — cycle by cycle, not department by department.

01 **Buy** Bulk gas, cylinders, spares and capex procured (Part II). ↓	02 **Make** Cylinders filled, tracked, counted (Part III). ↓	03 **Sell** Refill, exchange, Souq Gas app, B2B contracts (Part IV). ↓	04 **Collect & hold** Cash, banking, deposits, wallets (Part V). ↓
05 **Invest & pay people** Fleet, plant, app; payroll and benefits (Parts VI–VII).		06 **Account & report** Zakat/VAT, budgets, close, controls (Parts VIII–X).	

00.1 ONE STRUCTURAL RULE THAT RUNS THROUGH EVERYTHING

Best Gas treats the **cylinder as inventory, never as a fixed asset** — held in stock at multiple locations, moving at very high velocity, and costed and scrapped like a stock item rather than depreciated like equipment. Practically, that means the gas and the cylinder are two separate inventory components fused into one physical unit: gas is a consumable that is sold and replaced; the cylinder is a durable container that is sold, exchanged and recovered at high volume and must be tracked accordingly. Part III covers this in full depth. Every other Part assumes this split as background.

00.2 WHAT BEST GAS IS, AND IS NOT

> ▲ NOT A CYLINDER MANUFACTURER
>
> Best Gas does not fabricate steel cylinders. Cylinders are procured as finished trading inventory from qualified third-party manufacturers whose products are certified to the relevant design and construction standard (ISO 4706, adopted regionally through GSO/SASO technical regulations — see SOP-07). Best Gas runs two operating lines only: **(a) LPG gas distribution** — bulk procurement, storage and filling of gas into cylinders it owns — and **(b) high-velocity cylinder trading** — buying, selling, exchanging and recovering the cylinders themselves as fast-moving stock, at a volume of several thousand units a month. Nothing in this manual should be read as implying an in-house cylinder manufacturing operation.

That monthly volume is also the accounting justification for Section 00.1. Under IAS 2, inventory is defined as assets *"held for sale in the ordinary course of business."* Returnable packaging held under a closed-loop rental scheme — issued, always recovered, never sold outright — typically fails that test and sits in property, plant & equipment (IAS 16) instead. Best Gas's cylinder population does not behave that way: a material share of cylinders transacts as an outright first-time exchange sale each month (SOP-10), turnover is measured in thousands of units, and the population is managed, costed and written off exactly like merchandise. That fact pattern is what supports classifying cylinders as inventory rather than PP&E, and it is the specific judgement Finance should be ready to defend to auditors — see 00.3.

00.3 STANDARDS THIS MANUAL IS BUILT ON

This manual is written against real external standards, not house convention alone, so any procedure in it can be traced back to why it exists.

IFRS · SOCPA-endorsed | IAS 2 | IFRS 15 | IFRS 9 | IAS 16 / IAS 38 | COSO 2013 | WLPGA | ISO 4706 / 10464 | ZATCA

STANDARD / BODY	GOVERNS	APPLIED IN
IFRS, as endorsed by SOCPA for Saudi entities	Overall basis of financial statement preparation	Whole manual
IAS 2 — Inventories	Cost formulas, held-for-sale test behind the cylinder-as-inventory policy	Part III, 00.2
IFRS 15 — Revenue from Contracts with Customers	Five-step recognition model for refill, exchange, app and B2B revenue	Part IV
IFRS 9 — Financial Instruments	Expected credit loss on B2B receivables; deposits as financial liabilities	SOP-13, SOP-14
IAS 16 / IAS 38 — PP&E & Intangible Assets	Fleet, plant and capitalised Souq Gas app development	Part VI
COSO Internal Control — Integrated Framework (2013)	Five-component control structure	SOP-29
WLPGA Guide to Good Industry Practices for LPG Cylinder Management, Filling & Distribution	Cylinder lifecycle, filling and distribution-channel practice	Part III
ISO 4706 / ISO 10464 (adopted regionally via GSO/SASO)	Cylinder design/construction and periodic inspection & testing	SOP-07
ZATCA Implementing Regulations	VAT, e-invoicing (Phase 2) and Zakat	Part VIII

Full titles and scope notes are consolidated in Appendix A.3. Where an exact clause, interval or threshold is region- or edition-specific, this manual flags it for confirmation against the current locally adopted text rather than assuming a fixed figure.

01

FOUNDATIONS

GROUP CHART OF ACCOUNTS

One numbering block per financial cycle. Detailed sub-accounts for cylinders and gas live in Part III; this table is the map of where everything else lives.

BLOCK	CATEGORY	GOVERNED BY
1000–1099	Cash & bank	Treasury (Part V)
1100–1199	Trade & other receivables	Credit control (Part IV)
1200–1299	Prepayments & other current assets	GL / FP&A
1300–1399	Inventory — bulk gas, WIP, cylinders (full/empty/deposit/condemned)	Inventory control (Part III)
1400–1499	VAT & tax receivables	Tax (Part VIII)
1500–1599	Fixed assets — plant, fleet, IT & capitalised app development	Fixed assets (Part VI)
1600–1699	Accumulated depreciation (contra-asset)	Fixed assets (Part VI)
2000–2099	Trade payables	Accounts payable (Part II)
2100–2199	Accrued liabilities & GRN clearing	Accounts payable (Part II)
2200–2299	Customer cylinder deposits & Souq Gas wallet balances	Order-to-cash (Part IV)
2300–2399	Payroll, GOSI & EOSB payables	People costs (Part VII)
2400–2499	VAT & Zakat payable	Tax (Part VIII)
2500–2599	Borrowings & lease liabilities	Treasury (Part V)
3000–3099	Share capital, reserves & retained earnings	CFO / Board
4000–4099	Revenue — refill, exchange, B2B, new cylinder sales, forfeitures	Order-to-cash (Part IV)
5000–5099	Cost of goods sold — gas, filling loss, cylinder obsolescence	Inventory / COGS (Part III)
6000–6099	Operating expenses — payroll, fleet running, app hosting, marketing	Budget owners (Part IX)
7000–7099	Depreciation & amortisation	Fixed assets (Part VI)
8000–8099	Finance income & costs	Treasury (Part V)
9000–9099	Zakat & withholding tax expense	Tax (Part VIII)

◆ RULE OF THUMB

If you don't know which account to post to, find the cycle first from the block table, then open that Part — every Part below opens with its own detailed sub-account list where one is needed.

PART II

PROCURE-TO-PAY

Everything Best Gas buys, from bulk gas to a spare valve, and how it turns into an approved payment.

SOP-02

PROCURE-TO-PAY

VENDOR MASTER & ONBOARDING

No purchase order is raised against a vendor that hasn't been vetted — this is the control that keeps fictitious-vendor fraud and unbanked cash payments out of the business.

1. New vendor request submitted with Commercial Registration, VAT certificate, and IBAN confirmation letter from the vendor's bank.
2. Procurement verifies CR status is active and VAT number resolves on ZATCA's public lookup; Finance verifies the IBAN belongs to the legal entity on the CR, not an individual, unless the vendor is a sole proprietorship.
3. Critical suppliers (bulk gas supplier, cylinder manufacturer, Souq Gas app development/hosting vendor) go through an annual re-vetting regardless of activity.
4. Vendor master changes (bank details, payment terms) after go-live require a callback to a verified vendor contact number on file — never the number on the change request itself.

✖ COMMON FRAUD PATTERN

Bank-detail-change emails are the single most common vendor fraud vector. The callback-verification step in item 4 is not optional and is not delegable to whoever is fastest to process the change.

SOP-03

PROCURE-TO-PAY

BULK LPG PROCUREMENT & RECEIVING

✓ CONTROL POINT · GRN MATCH

Bulk gas is Best Gas's raw material and its largest cash outflow. Domestic butane/propane feedstock is typically priced off the monthly posted contract price from the national supplier; Procurement's job each month is to book that price change on the effective date, not the invoice date.

1. Monthly contract price notice received from the supplier; Procurement updates the standing purchase agreement in Nana Financials before the next delivery is scheduled.
2. Tanker arrives at plant; driver presents supplier delivery note and calibrated meter/dip reading.
3. Plant Operator independently dips the receiving tank pre- and post-discharge, corrects for ambient temperature, and compares to the delivery note.
4. Quality sample checked against the supplier's certificate of analysis; any load failing spec is quarantined, not discharged into good stock.
5. GRN raised for the metered received quantity against the open purchase order; three-way match (PO ↔ GRN ↔ invoice) clears the payable.

DELIVERY-NOTE VS. RECEIVED VARIANCE	ACTION	APPROVAL
≤ 0.3%	Within spec Post as received	Plant Operator
0.3%–1.0%	Investigate re-dip, log root cause	Plant Manager
> 1.0%	Hold quarantine, notify supplier	Plant Manager + Procurement

Bulk butane receipt, 20,000 kg @ SAR 1.38/kg REF GRN-88231

1301	Bulk LPG — butane, in storage	27,600.00	
1410	VAT input receivable	4,140.00	
2110	GRN clearing / accrued payable		31,740.00

SOP-04

PROCURE-TO-PAY

NON-GAS PROCUREMENT

Spare parts, cylinder valves and packaging, fleet parts, uniforms, IT and app-vendor invoices — anything that isn't bulk gas or capex goes through this lighter-weight path. This is also the path new **cylinders** come in on: Best Gas buys finished, ISO 4706-certified steel cylinders from qualified manufacturers as trading stock (see SOP-07) — it does not fabricate them.

PURCHASE VALUE (SAR)	APPROVAL BEFORE PO ISSUE
Up to 5,000	Department/plant supervisor
5,001 – 50,000	Department head + Procurement
50,001 – 250,000	Finance Manager + Procurement, competitive quotes required
Above 250,000	CFO, formal tender per procurement policy

Goods/services receipt is confirmed by the requesting department before the invoice is booked; Accounts Payable never books an invoice against a PO with no matching receipt.

SOP-05

PROCURE-TO-PAY

ACCOUNTS PAYABLE & PAYMENT RUNS

Invoice approval and payment release are performed by different people — the single most important segregation of duties in the whole procure-to-pay cycle.

1. Invoices booked on receipt, matched to PO and GRN; unmatched invoices are held, not paid on account.
2. Weekly payment run proposal generated from invoices due within payment terms; Accounts Payable prepares, Finance Manager approves the batch, Treasury releases via dual-authorised bank upload.
3. Bank file uploaded under maker-checker control — the person who prepares the payment batch cannot also be a bank signatory on it.
4. Payment remittance advice sent to vendor same day; AP aging reviewed weekly for early-payment discount opportunities and overdue exposure.

PART III

III CYLINDER & FILLING OPERATIONS

Best Gas's deepest inventory control area — gas becomes product, and steel becomes a tracked, recoverable asset-like stock item.

SOP-06

CYLINDER OPERATIONS

CYLINDER FILLING PLANT OPERATIONS

Filling is the moment an empty cylinder and bulk gas fuse into a sellable unit — financially, an inventory transformation, not a sale. This SOP covers *filling* only; Best Gas buys the cylinder itself finished from a third-party manufacturer (SOP-04) and never fabricates steel — see the WLPGA Guide to Good Industry Practices for LPG Cylinder Filling, which this procedure follows for weigh-in/weigh-out and rejection handling.

6.1 SUB-INVENTORY & ITEM STRUCTURE

LOCATION	HOLDS	OWNER
BULK-01	Bulk butane/propane, pre-filling	Plant Manager
WIP-FILL	Cylinders mid-fill, not yet QC-released	Filling Supervisor
FG-FULL-WH / VAN	Full cylinders, warehouse and van stock	Warehouse Keeper / Driver
EMPTY-WH / VAN	Empty cylinders awaiting refill	Warehouse Keeper / Driver
CUST-DEPOSIT	Memo register — cylinders with customers under deposit	Inventory Control
HOLD-COND	Condemned holding cage	Plant Manager

Every cylinder SKU is a **kit of two components** — steel (standard cost, e.g. 12 kg cylinder SAR 62.00) and gas (weighted average, e.g. butane SAR 1.38/kg) — so the two can be costed and moved independently while travelling together physically.

6.2 FILLING PROCEDURE & LOSS CONTROL

1. Empty cylinders weighed for tare and inspected before loading; corroded units or those past hydrostatic re-test date are pulled to `HOLD-COND` (see SOP-07).
2. Filling line dispenses by mass to target gross weight with automatic cut-off; an in-line check-weigher rejects anything outside tolerance to a rework station, never to stock.
3. QC releases the batch; Nana Financials transfers `EMPTY-WH + BULK →` `FG-FULL-WH` at steel standard cost plus weighted-average gas cost for the rated fill weight.
4. Filling loss (venting, purge, scrapped rejects) is the balancing figure between gas drawn from bulk and gas actually loaded into released cylinders. Target ≤ 0.8% of throughput per shift; a shift above 1.5% stops the line for inspection before the next batch.

Batch of 500 × 12 kg cylinders filled, butane REF BATCH-4471

1320	Full cylinders — warehouse (500 × SAR 78.56)	39,280.00	
1330	Empty cylinders — warehouse (500 × SAR 62.00)		31,000.00
1301	Bulk LPG — butane (6,000 kg incl. loss)		8,280.00

SOP-07

CYLINDER OPERATIONS

CYLINDER LIFECYCLE: REGISTRATION TO CONDEMNATION

Every cylinder is serialised on receipt and tracked for its entire life, including the day it dies — the lifecycle structure follows the `WLPGA` Guide to Good Industry Practices for LPG Cylinder Management (acquisition through disposal).

1. New cylinders received from the manufacturer are booked to `EMPTY-WH` at standard cost — never to a fixed asset account, regardless of unit value.
2. Each unit is QR-tagged before entering circulation and logged with size, gas type, manufacture date and first hydrostatic test date — this tag is what every scanner, POS and the Souq Gas driver app reads at every subsequent movement.
3. A cylinder is pulled to `HOLD-COND` on failed inspection, failed tare/check-weigher, or an expired periodic inspection/test — governed by `ISO 4706` (design & construction) and `ISO 10464` (periodic inspection & testing of refillable welded-steel LPG

cylinders), adopted regionally through GSO/SASO technical regulations. Confirm the exact re-test interval currently in force locally before relying on a fixed number in this manual.

4. Condemned units are batch-scrapped monthly against a signed destruction certificate with photo evidence — required before the journal posts, so a "scrapped" cylinder can never quietly re-enter circulation.

Scrap of 40 condemned 22 kg cylinders			REF SCRAP-0142
5003	Cylinder obsolescence & scrap provision	4,160.00	
1340	Condemned cylinders — holding (40 × SAR 104.00)		4,160.00

CYLINDER OPERATIONS

SOP-08 PHYSICAL CYLINDER COUNT & RECONCILIATION

Cylinders are scattered across warehouses, vans, branch counters and thousands of customer homes at once — counting them is four different methods stitched together.

LOCATION	METHOD	FREQUENCY
Central warehouse (full & empty)	Full physical count, blind sheet vs. system	Monthly
Delivery vans	QR scan reconciliation at shift close (SOP-16)	Daily, sampled audit weekly
Cylinders with customers	Deposit register reconciliation — not a physical count	Monthly, tied to deposit liability
Full network, all locations	Complete physical count, all SKUs	Annual

◆ RECONCILIATION IDENTITY

`Cylinders issued to date` = `On hand` + `With customers (deposit register)` + `Condemned/scrapped` + `Unexplained variance`. A growing unexplained-variance line is the earliest warning of theft or unrecorded scrap.

VARIANCE VALUE PER COUNT CYCLE	APPROVAL
Up to SAR 5,000	Inventory Controller
5,001 – 25,000	Finance Manager
Above 25,000	CFO, with root-cause report

PART IV

IV ORDER-TO-CASH

Every way Best Gas turns gas into revenue — over the counter, on a van, through Souq Gas, or on a commercial contract.

◆ RECOGNITION MODEL — IFRS 15

Every revenue SOP in this Part applies the same five-step model: (1) identify the contract — a POS ticket, an app order, or a signed B2B agreement; (2) identify the performance obligation(s) — gas delivered, and, on a first-time exchange, none for the deposit itself, since it is not consideration for a supply; (3) determine the transaction price — gas value, deposit, delivery fee where charged; (4) allocate the price across distinct obligations; (5) recognise revenue when control transfers — at weigh-out for a counter refill, at courier hand-off for a B2B delivery, at **Delivered** status for the Souq Gas app (SOP-11), never at order placement or cash receipt.

SOP-09

ORDER-TO-CASH

REFILL SALE — CUSTOMER'S OWN CYLINDER

In a refill, the customer already owns or holds the cylinder on deposit. Best Gas sells **gas only** — no deposit moves. Highest margin, and the most exposed to under-fill loss if weigh-in is skipped.

1. Attendant scans the cylinder QR — a serial not in the Best Gas register is refused per safety policy.
2. Cylinder weighed empty (tare) and full (gross); the customer is billed for kg actually filled, not a flat "one refill" price.
3. Revenue = kg filled × price per kg (or the published flat-rate where regulated), plus 15% VAT.

Refill sale, 12 kg butane, cash — REF POS-220481

1010	Cash / POS clearing	50.00	
4001	Revenue — LPG refill		43.48
2410	VAT output payable (15%)		6.52
5001	COGS — bulk gas consumed (12 kg × SAR 1.38)	16.56	
1301	Bulk LPG — butane, in storage		16.56

✖ FRAUD CONTROL

The pre-/post-weigh-in must print on the receipt. An attendant whose average fill weight trends below 97% of rated capacity over a rolling week is flagged for supervisor review.

ORDER-TO-CASH

SOP-10 CYLINDER EXCHANGE — EMPTY-FOR-FULL SWAP

Exchange is the transaction that moves the deposit liability. Get it wrong and the balance sheet either fills with phantom deposits, or Best Gas gives away steel for free.

10.1 FIRST-TIME EXCHANGE (NO PRIOR DEPOSIT)

First exchange, 12 kg butane, new customer — REF POS-220502 / CYL-SN-77410

1010	Cash / POS clearing (gas + deposit + VAT)	306.52	
4002	Revenue — cylinder exchange (gas only)		43.48
2410	VAT output payable (gas only — deposit is not a supply)		6.52
2210	Customer cylinder deposits — liability		256.52
5001	COGS — bulk gas consumed	16.56	
1332	Cylinders with customers (steel, SAR 62.00)	62.00	
1320	Full cylinders — warehouse/van		78.56

10.2 REPEAT EXCHANGE

No deposit movement — only the gas is charged; the empty steel received back moves `CUST-DEPOSIT` → `EMPTY-WH`. A returned unit too damaged to repair is flagged to `HOLD-COND` instead, and a partial deposit top-up restores the deposit to full replacement value.

SOP-11

ORDER-TO-CASH · DIGITAL

SOUQ GAS APP — ORDER TO CASH & VAN INVENTORY

✓ CONTROL POINT · VAN 3-WAY MATCH

The app turns every delivery van into a moving branch, and must reconcile back into Nana Financials every day.

APP STATUS	INVENTORY EFFECT	GL EFFECT
Placed	None	Prepaid: credit to wallet liability 2211
Loaded	Transfer FG-FULL-WH → FG-FULL-VAN	None — intra-inventory
Delivered	Relieve van stock; receive empty to deposit/van as applicable	Revenue + COGS recognised here, not at Placed
Failed/Refused	Stock stays on van, re-queued	Reverse accrual; refund wallet if prepaid

Payment methods: cash on delivery (the exception, not the default — cash is what disappears), card on delivery, and the Souq Gas wallet. Wallet top-ups post as liability 2211, exactly like a prepaid gift balance, until consumed against a delivered order.

Every shift closes only when three records agree: the **app delivery log**, the **warehouse gate scan**, and the **GL posting batch**. Full end-of-day van cash and stock reconciliation mechanics are detailed in SOP-16 (Treasury).

SOP-12

ORDER-TO-CASH

B2B COMMERCIAL & INDUSTRIAL CONTRACTS

Restaurants, factories, hotels and catering accounts buy on contract and on credit, not walk-in cash — a materially different risk profile from retail refill/exchange.

1. New commercial account signed on a supply contract fixing price basis (index-linked to bulk cost or fixed for a term), delivery schedule and payment terms.
2. Credit limit set per SOP-13 before the first contract delivery, independent of the sales relationship owner.
3. Deliveries against a customer PO or standing order; monthly consolidated statement issued rather than per-delivery invoicing, unless the contract specifies otherwise.

4. Large industrial cylinder pools (e.g. 48 kg catering cylinders placed at a single site) carry a security deposit sized to the pool, tracked the same way as retail deposits (SOP-10) but against the account, not an individual serial.

SOP-13

ORDER-TO-CASH

CREDIT CONTROL, COLLECTIONS & BAD DEBT

Credit is only extended to B2B accounts (SOP-12) — retail refill/exchange is cash, card or wallet, never on account.

CREDIT LIMIT REQUESTED	APPROVAL
Up to SAR 50,000	Credit Controller
50,001 – 250,000	Finance Manager
Above 250,000	CFO, with bank reference and trade references on file

13.1 AGING & PROVISIONING

AGING BUCKET	ACTION	EXPECTED CREDIT LOSS PROVISION
Current – 30 days	Standard statement	0%
31–60 days	Reminder + account manager call	5%
61–90 days	Deliveries suspended pending payment plan	25%
> 90 days	Legal/collections referral	50–100%

Provision is booked monthly as an expected-credit-loss estimate against the aging above; write-off of a specific balance requires Finance Manager approval up to SAR 25,000 and CFO approval beyond that, and only after collections/legal steps are exhausted and documented.

SOP-14

ORDER-TO-CASH

EMPTY CYLINDER RETURN & DEPOSIT REFUND

A customer who stops buying gas is entitled to their deposit back — the SOP most likely to be neglected once a customer stops generating revenue.

SCENARIO	REFUND
Cylinder returned in good condition, account closed	Full deposit refunded
Cylinder returned damaged, account closed	Refunded net of repair/scrap cost
Switch to refill-only (customer keeps the cylinder)	No cash refund — deposit liability closed against the steel now owned by the customer
Unclaimed > 24 months, documented contact attempts, Finance Manager sign-off	Forfeited to other income (SOP-27 close checklist flags candidates monthly)

Forfeiture of dormant deposit, 12 kg cylinder REF DEP-FORFEIT-Q3-014

2210	Customer cylinder deposits — liability	61.90	
4009	Deposit forfeiture income		61.90

PART V

V TREASURY & CASH MANAGEMENT

Where every riyal collected — cash, card, wallet, or B2B bank transfer — actually lands, and who is allowed to move it.

SOP-15

TREASURY

BANKING, SIGNATORIES & DAILY CASH POSITION

Best Gas operates separate operating, collections and payroll bank accounts — never one account doing everything.

1. Collections account receives branch/POS batch settlements, PSP (card acquirer) settlements, and B2B bank transfers; sweeps to the operating account daily.
2. Payment release above SAR 50,000 requires two signatories, one of whom must be at Finance Manager level or above; below that threshold, single-signatory release is permitted under the payment-run control in SOP-05.
3. Treasury publishes a daily cash position (bank balances, expected same-day inflows from PSP settlement, upcoming payment runs) to the CFO every morning.

SOP-16

TREASURY

VAN CASH, POS & PAYMENT GATEWAY SETTLEMENT

Cash that a driver or cashier holds is the single largest daily leakage risk in the business; this SOP is the daily discipline that closes that gap.

16.1 DRIVER / VAN DAILY CYCLE

1. **Load-out:** Warehouse Keeper and driver jointly scan every cylinder loaded, confirmed on both the app and the warehouse screen before the gate log closes.
2. **Route:** each delivery scans stock off (and empties on, for exchanges); COD payments captured in-app via card reader or wallet QR wherever possible.
3. **Settlement:** driver returns; remaining stock and collected empties scanned back in. The app produces a settlement sheet — *loaded − delivered = expected remaining* vs. *actual scanned*.
4. **Cash banking:** physical cash collected is counted, sealed and banked same day; the app's recorded COD total must match the bank deposit slip.

16.2 VARIANCE HANDLING

VARIANCE	THRESHOLD	ACTION
Cylinder shortage (van vs. app log)	0 tolerance	`Same-day investigation`, driver statement required
Cash variance vs. app COD total	> SAR 25 or 1% of shift cash	`Supervisor review`; repeats escalate to HR
Unexplained after investigation	—	`Written off` to 5004 with Finance Manager approval

16.3 PAYMENT GATEWAY (PSP) SETTLEMENT

Card and app-wallet payments settle from the acquirer/PSP one to two business days after the transaction, net of interchange fees. Treasury reconciles three figures daily: the **POS/app batch total**, the **PSP settlement report**, and the **bank credit received** — timing differences are tracked in a settlement-in-transit account and cleared as bank credits land, not assumed away.

SOP-17

TREASURY

PETTY CASH

Each branch and plant holds a small imprest float for minor, non-gas expenses only — never for making change against sales or refunding deposits.

Float replenishment requires original receipts matched to a signed voucher; Finance performs surprise counts at least quarterly, and any float custodian change triggers an immediate full count and handover sign-off.

PART VI

VI FIXED ASSETS & CAPITAL EXPENDITURE

Everything Best Gas owns that is *not* a cylinder: plant, fleet, and the technology that runs Souq Gas.

SOP-18 FIXED ASSETS

CAPITAL EXPENDITURE APPROVAL

▲ NOT CYLINDERS

Cylinders are inventory under Part III, regardless of unit cost. This Part covers filling equipment, vehicles, buildings and IT/app assets only.

CAPEX VALUE (SAR)	APPROVAL
Up to 100,000	Finance Manager + asset owner
100,001 – 1,000,000	CFO, business case required
Above 1,000,000	Board approval

Souq Gas app development is capitalised during the application-development stage (coding, testing, infrastructure build) and expensed during the preliminary/planning and post-launch maintenance stages — Finance and the app's engineering lead jointly tag time and cost each sprint against the correct stage before month-end.

SOP-19 FIXED ASSETS

ASSET REGISTER, DEPRECIATION & DISPOSAL

CATEGORY	USEFUL LIFE	METHOD
Filling plant & machinery	15 years	Straight-line
Delivery vans & trucks	5 years	Straight-line
Buildings & leasehold improvements	20 years / lease term	Straight-line
IT equipment	4 years	Straight-line
Capitalised Souq Gas app development	3–5 years	Straight-line, from go-live of the release

Physical asset verification (plant, vehicles, major IT hardware) is performed annually and tied to the asset register; disposals below net book value of SAR 25,000 are approved by the Finance Manager, above that by the CFO, with proceeds and any gain/loss booked in the same period as physical disposal.

PART VII

VII PEOPLE COSTS

Payroll, incentive pay for drivers and sales staff, and the statutory benefits that build up in the background every month.

PEOPLE COSTS

SOP-20 PAYROLL PROCESSING & GOSI

1. Monthly payroll input (new hires, exits, allowance and deduction changes) cut off on the 25th, processed and reviewed by HR and Finance independently before release.
2. GOSI (social insurance) contributions calculated on each employee's contributory salary — employer and employee shares split per current GOSI rates for Saudi and non-Saudi employees respectively — and remitted alongside payroll.
3. Salaries disbursed via the Wage Protection System (WPS) file to the bank; WPS submission confirmation is retained as evidence of labour-law compliance.

Monthly payroll — illustrative, single cost centre REF PAY-2026-08

6010	Salaries & wages	850,000.00	
6011	GOSI — employer contribution	76,500.00	
1010	Bank — payroll account		850,000.00
2310	GOSI payable		76,500.00

PEOPLE COSTS

SOP-21 DRIVER & SALES INCENTIVE SCHEMES

Souq Gas drivers and branch sales staff earn incentive pay tied to volume and service KPIs — accrued monthly, not paid on a hunch.

Incentive accrual is calculated from the same app delivery logs used in SOP-11/16 (on-time rate, delivered volume, zero cylinder-shortage shifts); a driver with an open, unresolved cash or cylinder variance from SOP-16 has that period's incentive held pending resolution, not forfeited outright. Any change to a scheme's formula requires Finance Manager and HR joint sign-off and 30 days' written notice to affected staff.

SOP-22

PEOPLE COSTS

END-OF-SERVICE BENEFITS

EOSB is a real, growing liability from an employee's first day — accrue it monthly, don't discover it on the day someone resigns.

Under Saudi Labor Law, EOSB accrues at half a month's wage per year for the first five years of service and a full month's wage per year thereafter (pro-rated for resignations under specific service bands). Finance accrues this monthly per employee based on current wage and tenure, rather than booking a single expense on exit.

Monthly EOSB accrual — illustrative REF EOSB-2026-08

6012	End-of-service benefit expense	38,200.00	
2320	End-of-service benefit provision		38,200.00

VIII

PART VIII

TAX & ZAKAT

The statutory obligations layered on top of every sale and every payroll run.

SOP-23

TAX & ZAKAT

VAT & ZATCA E-INVOICING

1. Every refill, exchange and B2B invoice is generated as a ZATCA-compliant e-invoice, cleared through the e-invoicing (Phase 2) integration in real time; POS and the Souq Gas app both call the same invoicing service so no sale bypasses it.
2. Output VAT excludes cylinder deposits (not consideration for a supply — see SOP-10) and includes gas revenue across all channels.
3. Monthly VAT return reconciles output VAT per the sales ledger, input VAT per the purchase ledger, and the ZATCA portal acknowledgement log before filing and payment by the statutory deadline.

> ▲ PHASE 2 IS NOT OPTIONAL AT THIS SCALE
>
> ZATCA's Phase 2 integration waves have progressively lowered the mandatory threshold — down to taxable turnover above SAR 375,000 by mid-2026. A distributor selling thousands of cylinders a month is far above any wave threshold in force and must already be fully integrated; this is a live compliance requirement, not a future milestone.

SOP-24

TAX & ZAKAT

ZAKAT COMPUTATION & FILING

As a Saudi-owned company, Best Gas is subject to Zakat (not corporate income tax) on its Zakat base at 2.5% of the Hijri-year base — a materially different calculation from a VAT or income-tax return.

1. Zakat base built from the approved annual financial statements: opening equity and reserves, plus adjusted net income, less net book value of fixed assets and other Zakat-deductible items, per current ZATCA Zakat regulations.
2. Provisional/estimated Zakat return filed where required during the year; final return filed within 120 days of the Hijri fiscal year-end, with the annual Zakat certificate obtained for use in government tender submissions.

3. Any foreign or mixed ownership in the shareholding structure would require splitting the base between Zakat and income tax pro-rata to ownership — confirm the current shareholding structure with Legal before assuming a 100% Zakat treatment.

SOP-25

TAX & ZAKAT

WITHHOLDING TAX ON FOREIGN PAYMENTS

Payments to non-resident vendors — for example an offshore Souq Gas app development contractor, or foreign technical consultants — are subject to withholding tax at the applicable statutory rate for the service category, deducted at source and remitted with the monthly withholding tax return. Procurement flags any new vendor with a non-Saudi bank/registration at onboarding (SOP-02) so Tax can confirm treatment before the first payment, not after.

PART IX

IX PLANNING & MANAGEMENT REPORTING

Turning all of the above into a budget, a forecast, and a board-ready number every month.

SOP-26

PLANNING

ANNUAL BUDGET & ROLLING FORECAST

1. Bottom-up budgets built per plant and per branch/van route, covering gas volumes, cylinder capex needs, headcount and incentive cost, consolidated by FP&A.
2. Board approves the annual budget before the new fiscal year; quarterly reforecast updates the remaining-year view against actuals without discarding the original budget baseline (used for variance commentary).

SOP-27

PLANNING

MANAGEMENT & BOARD REPORTING

The monthly management pack — P&L by channel (refill, exchange, B2B, Souq Gas app), balance sheet, cash flow, the KPI scorecard below, and variance commentary on any line moving more than 5% or SAR 100,000 versus budget — is circulated by FP&A ahead of the monthly close meeting (SOP-28) and rolled up into the quarterly board pack.

KPI

PLANNING

THE FINANCE SCORECARD

KPI	FORMULA	WHY IT MATTERS
Gross margin by channel	(Revenue − COGS) ÷ Revenue, split refill / exchange / B2B / app	Channels carry very different margin and risk profiles
Souq Gas GMV share	App-originated sales ÷ total sales	Tracks channel shift toward lower cash-handling-risk revenue
Empty-to-full cylinder ratio	Empty cylinders on hand ÷ full cylinders on hand	Signals filling-capacity or return-logistics bottlenecks
Deposit liability outstanding	Balance of account 2210	Should track cylinders-with-customers × unit deposit; drift signals a reconciliation gap

KPI	FORMULA	WHY IT MATTERS
DSO — B2B receivables	(Trade receivables ÷ B2B revenue) × days in period	Only B2B carries credit risk; retail is cash/card/wallet
DPO — trade payables	(Trade payables ÷ COGS) × days in period	Working-capital lever against the gas supplier relationship
Van cash/stock variance rate	Shifts with any variance ÷ total shifts	Directly tied to driver integrity and app scan discipline
EBITDA margin	EBITDA ÷ revenue	Headline profitability, stripped of financing/tax/depreciation policy choices

PART X

X PERIOD-END CLOSE & CONTROLS

The checklist and the guardrails that make every Part above trustworthy at once.

SOP-28

CLOSE & CONTROL

MONTH-END CLOSE — ALL CYCLES

#	STEP	OWNER	DUE
1	Cut off deliveries, receipts and all Souq Gas app shifts at 23:59 last day of the month	Ops + IT	Day 0
2	Bulk gas dip vs. book, and cylinder counts consolidated per SOP-08	Plant Manager / Inventory Controller	Day 1–2
3	AP invoices cut off; accruals booked for received-not-invoiced goods/services	Accounts Payable	Day 2
4	Bank reconciliations and PSP settlement-in-transit cleared (SOP-16.3)	Treasury	Day 2
5	Payroll, GOSI and EOSB accruals posted (SOP-20–22)	Payroll / Finance	Day 2
6	Depreciation run for the month; capex additions/disposals reviewed	Fixed Assets Accountant	Day 3
7	Receivables aging reviewed; ECL provision updated (SOP-13); deposit dormancy report run (SOP-14)	Credit Controller	Day 3
8	VAT reconciled and e-invoice log matched to ZATCA acknowledgements (SOP-23); Zakat provision updated (SOP-24)	Tax Accountant	Day 3
9	Van cash/cylinder variances and other write-offs approved per thresholds	Finance Manager	Day 3
10	All sub-ledgers (inventory, AP, AR, fixed assets, payroll) reconciled to GL control accounts	Cost/GL Accountant	Day 4
11	Management pack and KPI scorecard refreshed (SOP-27)	FP&A	Day 4
12	Trial balance lock	Finance Manager	Day 5

SOP-29

CLOSE & CONTROL

INTERNAL CONTROL STRUCTURE — SOD BY CYCLE

Controls are organised on the COSO 2013 Internal Control — Integrated Framework's five components, so every control below maps to a structure an external auditor already tests against.

29.1 CONTROL ENVIRONMENT

The CFO owns this manual; every Part has a named process owner (stated in its RACI/approval tables); no owner may also be the sole approver of their own transactions. Annual sign-off of this manual by the CFO and Audit Committee is the formal control-environment attestation.

29.2 RISK ASSESSMENT

Risk is reassessed at defined trigger points already built into this manual, not on a separate schedule: variance thresholds (SOP-08, SOP-16), B2B credit limits and ECL banding (SOP-13), capex business cases (SOP-18), and the insurance/claims log (SOP-30). A consolidated risk register is reviewed at each quarterly board pack (SOP-27).

29.3 CONTROL ACTIVITIES — SEGREGATION OF DUTIES

No single role originates, approves and records the same transaction across any cycle.

ACTIVITY	ORIGINATES	APPROVES	RECORDS IN GL
Vendor master change (SOP-02)	Procurement	Finance Manager (callback-verified)	AP
Purchase order > SAR 50,000 (SOP-04)	Requesting dept.	Finance Manager / CFO	AP
Payment release (SOP-05)	AP (proposes batch)	Finance Manager	Treasury (releases, different person)
Cylinder scrap (SOP-07)	Plant/Filling Supervisor	Inventory Controller	GL Accountant
Refill / exchange sale (SOP-09–10)	Attendant / driver	System (weigh-in rules)	POS auto-posts
B2B credit limit (SOP-13)	Sales	Credit Controller / Finance Manager	AR
Deposit refund (SOP-14)	Branch cashier	Finance Manager	GL Accountant
Capex approval (SOP-18)	Asset owner	CFO / Board	Fixed Assets Accountant

ACTIVITY	ORIGINATES	APPROVES	RECORDS IN GL
Payroll release (SOP-20)	HR	Finance Manager (independent review)	Payroll
Zakat/VAT filing (SOP-23–24)	Tax Accountant	CFO	Tax Accountant (files)

29.4 INFORMATION & COMMUNICATION

Nana Financials is the single GL of record; the Souq Gas app is the single source of delivery/van truth (SOP-11, SOP-16); neither system is overridden by a spreadsheet. The monthly management pack (SOP-27) is how control-relevant information reaches the CFO and Board on a fixed cadence, not on an ad-hoc basis.

29.5 MONITORING ACTIVITIES

Ongoing monitoring: daily van reconciliation (SOP-16), daily cash position (SOP-15). Periodic monitoring: monthly cylinder counts (SOP-08), monthly close (SOP-28), annual full physical count and annual re-vetting of critical vendors (SOP-02). Independent monitoring: internal audit testing of this SoD matrix at least annually, with findings reported directly to the Audit Committee, not through the process owner being tested.

SOP-30

CLOSE & CONTROL

INSURANCE & BUSINESS CONTINUITY

LPG is a hazardous product — insurance here is a safety control as much as a financial one.

- **Property & plant:** fire and explosion cover on bulk storage and filling infrastructure, reviewed against replacement value annually.
- **Fleet:** comprehensive cover on delivery vans and trucks, including third-party liability for LPG cargo.
- **Public & product liability:** cover for incidents arising from filled cylinders in customer hands — the single largest tail risk in the business.
- **Stock in transit:** cover for cylinders and bulk gas while on vans or in transport between plant and warehouse.

Policy renewals are tracked on a rolling calendar by Treasury; any claim above SAR 100,000 is reported to the CFO within 24 hours of the incident, and every claim is logged regardless of value to inform annual renewal negotiations.

App.

REFERENCE

APPENDIX

A.1 GLOSSARY

Exchange	Sale where the customer hands back an empty cylinder and receives a full one; only gas is charged if a deposit is already on file.
Refill	Sale where the customer's own cylinder is filled; no deposit movement.
GOSI	General Organization for Social Insurance — Saudi statutory social insurance scheme.
WPS	Wage Protection System — mandatory salary-disbursement monitoring by the Saudi Ministry of Human Resources.
EOSB	End-of-service benefit — statutory severance accrual under Saudi Labor Law.
Zakat	Statutory religious levy on Saudi-owned companies' Zakat base, in lieu of corporate income tax.
ZATCA	Zakat, Tax and Customs Authority — administers VAT, Zakat, e-invoicing and customs in Saudi Arabia.
ECL	Expected credit loss — forward-looking bad-debt provisioning basis.
DSO / DPO	Days sales outstanding / days payable outstanding — working-capital cycle metrics.
Souq Gas wallet	Customer prepaid balance in the app; a liability until consumed against a delivered order.

A.2 FORMS & SYSTEM ARTEFACTS REFERENCED

- Vendor onboarding form & annual re-vetting checklist
- Goods Received Note (GRN) — bulk gas and non-gas purchases
- Filling batch release / QC certificate
- Cylinder destruction certificate (scrap)
- Souq Gas driver shift settlement sheet
- Capex request & business case template
- Monthly payroll variance & GOSI reconciliation
- ZATCA e-invoice submission log; Zakat return & certificate
- Monthly cylinder count & variance report
- Insurance claim log

A.3 STANDARDS REGISTER

REFERENCE	FULL TITLE	ISSUING BODY
IAS 2	Inventories	IFRS Foundation / IASB
IFRS 15	Revenue from Contracts with Customers	IFRS Foundation / IASB
IFRS 9	Financial Instruments	IFRS Foundation / IASB
IAS 16	Property, Plant and Equipment	IFRS Foundation / IASB
IAS 38	Intangible Assets	IFRS Foundation / IASB
IAS 37	Provisions, Contingent Liabilities and Contingent Assets	IFRS Foundation / IASB
COSO 2013	Internal Control — Integrated Framework	Committee of Sponsoring Organizations of the Treadway Commission
WLPGA	Guides to Good Industry Practices for LPG Cylinder Management / Filling / Distribution Channel	World Liquid Gas Association
ISO 4706	Refillable welded steel cylinders for LPG — Design and construction	International Organization for Standardization
ISO 10464	Gas cylinders — Refillable welded steel cylinders for LPG — Periodic inspection and testing	International Organization for Standardization
GSO / SASO	Regional adoption of the above ISO standards in Saudi Arabia and the GCC	GCC Standardization Organization / Saudi Standards, Metrology and Quality Authority
ZATCA	VAT Implementing Regulations, E-Invoicing (Fatoora) Resolution, Zakat Implementing Regulations	Zakat, Tax and Customs Authority

Standards are cited for the process they govern conceptually; always confirm the current locally adopted edition, interval or threshold before relying on a specific figure in this manual.

A.4 REVISION HISTORY

VERSION	DATE	CHANGE
1.0	2026-08-07	Initial draft — cylinder inventory & finance scope only
2.0	2026-08-07	Expanded to full finance function: procure-to-pay, treasury, fixed assets, payroll, Zakat/VAT, planning, and cycle-wide close & controls
3.0	2026-08-07	Grounded in named external standards (IFRS/SOCPA, COSO 2013, WLPGA, ISO 4706/10464, ZATCA); clarified that Best Gas purchases cylinders as trading inventory and does not manufacture them; recast Part IV revenue recognition under IFRS 15 and Part X controls under the COSO five-component structure